

Activity 4: ABC Inventory Classification with Criticality

Level: Intermediate Duration: 75 minutes Mapping: K5 K6 A2 Tools: Inventory CSV; Pareto tool; worksheet

Goal

Perform ABC analysis, challenge value-only classification with criticality and design differentiated control policies.

Learner output

Ranked ABC table, cumulative-value chart, criticality overrides and class-control policy.

Files in this folder

- README.md / README.pdf - activity guide and detailed procedure
- scenario.md / scenario.pdf - case facts and questions
- worksheet.md / worksheet.pdf - structured response template
- evidence-checklist.md / evidence-checklist.pdf - acceptance record
- data.csv - mock dataset when analysis is required

Detailed procedure

1. Open inventory.csv and calculate annual usage value for every SKU.
2. Sort items from highest to lowest annual usage value.
3. Calculate each item's percentage and cumulative percentage of total value.
4. Assign A, B and C using the stated 80/95/100 guide; record boundary judgment.
5. Review operational criticality and lead time; identify justified overrides.
6. Define record accuracy, review frequency, approval and buffer policy by class.
7. Use the Pareto tool to confirm the visual concentration.
8. Draft an AI exception summary that references real rows and preserves planner approval.

Verification

Complete every acceptance item in evidence-checklist.md. Submit the worksheet plus calculations, exported tool output or screenshots named in the worksheet.

Safety, privacy and responsible AI

Use only the supplied scenario data unless your organisation has authorised another dataset. Remove personal, confidential and export-controlled information. AI outputs are suggestions until verified by the named human decision owner.